

What is Organizing? Explain the process of Organizing:
Define organizational structure?

Discuss line organization and discuss its advantages and disadvantages

What is line and staff organization? Explain its advantages and disadvantages.

Distinguish between line and line and staff organization.

What are the principles of organization?

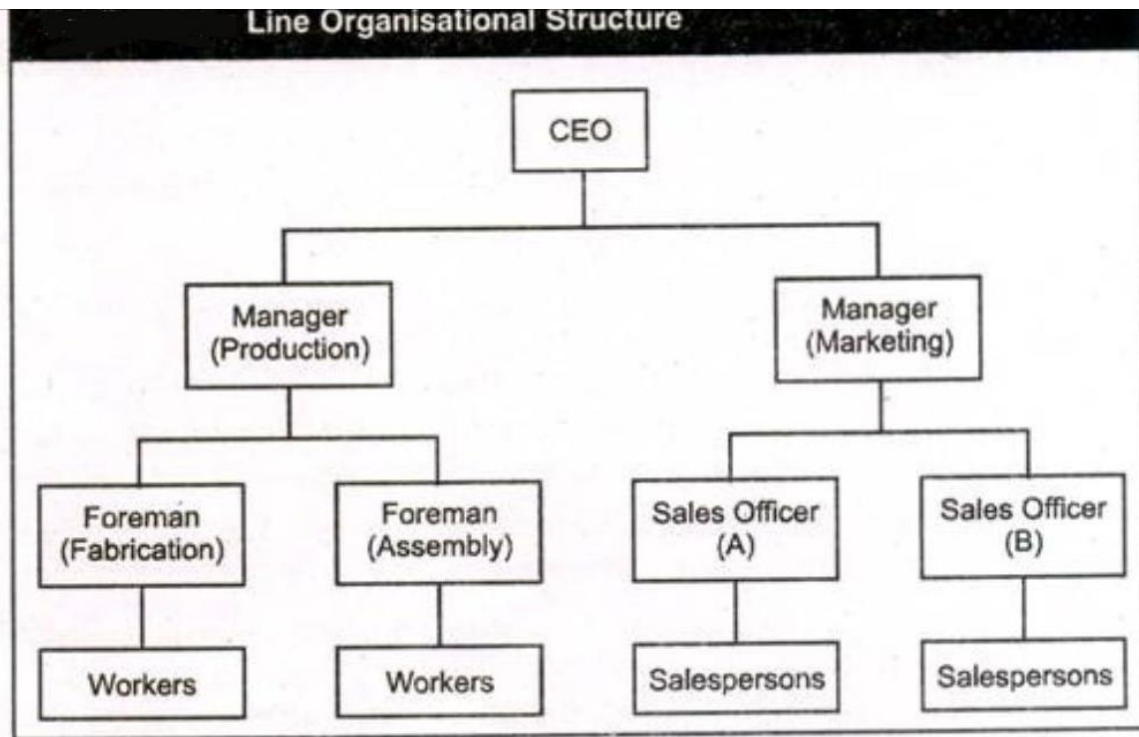
What is departmentation? What are the bases of departmentation?

Discuss authority, responsibility and accountability.

What is delegation and what are the principles of delegation?

What are the barriers to effective delegation of authority?

What is decentralization and what are the factors affecting the decentralization of authority?



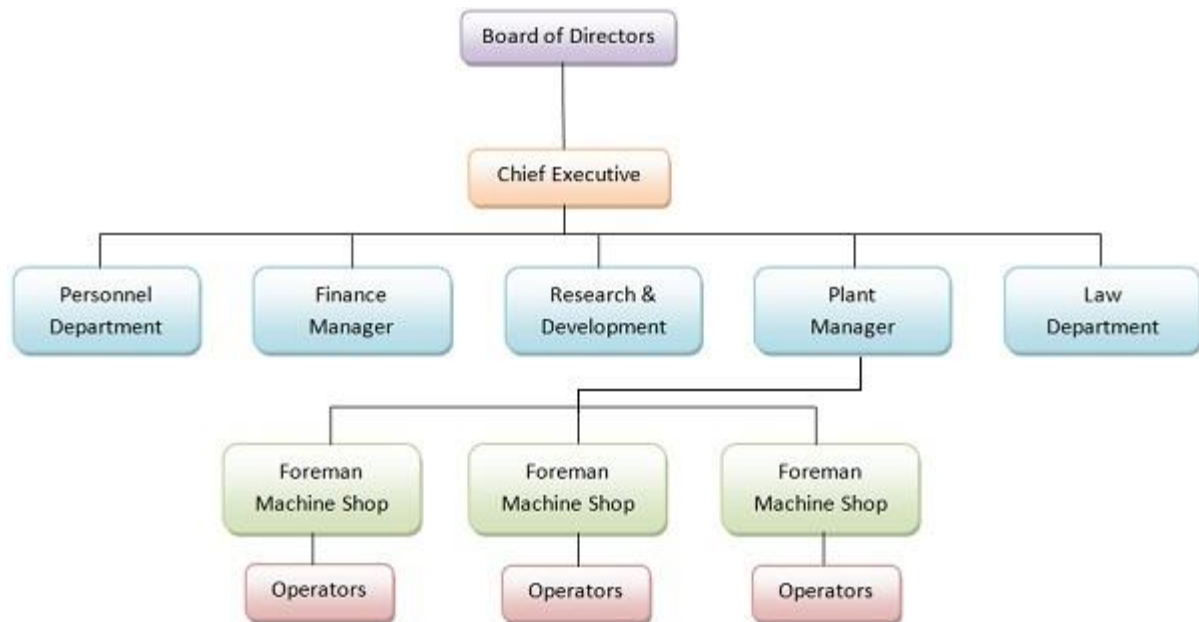
Merits:

- It is simple to establish and no complexity is involved since every person is accountable to only one superior.
- Less expensive
- Unity of command is maintained.
- It is flexible since the manager takes all the decisions if new situation warrants.
- Decision is quick as only one person is in charge of a department or division.
- Effective communication since the chain of command is maintained.

Demerits:

- Lack of managerial specialization
- Scope of favouritism
- Creates instability with the leave of key persons
- Not useful for large organization

Line and Staff organization:



Merits:

- Specialization
- Well defined authority and responsibility
- Opportunities for advancement
- Flexibility
- Sound decision

Demerits of Line and Staff organization:

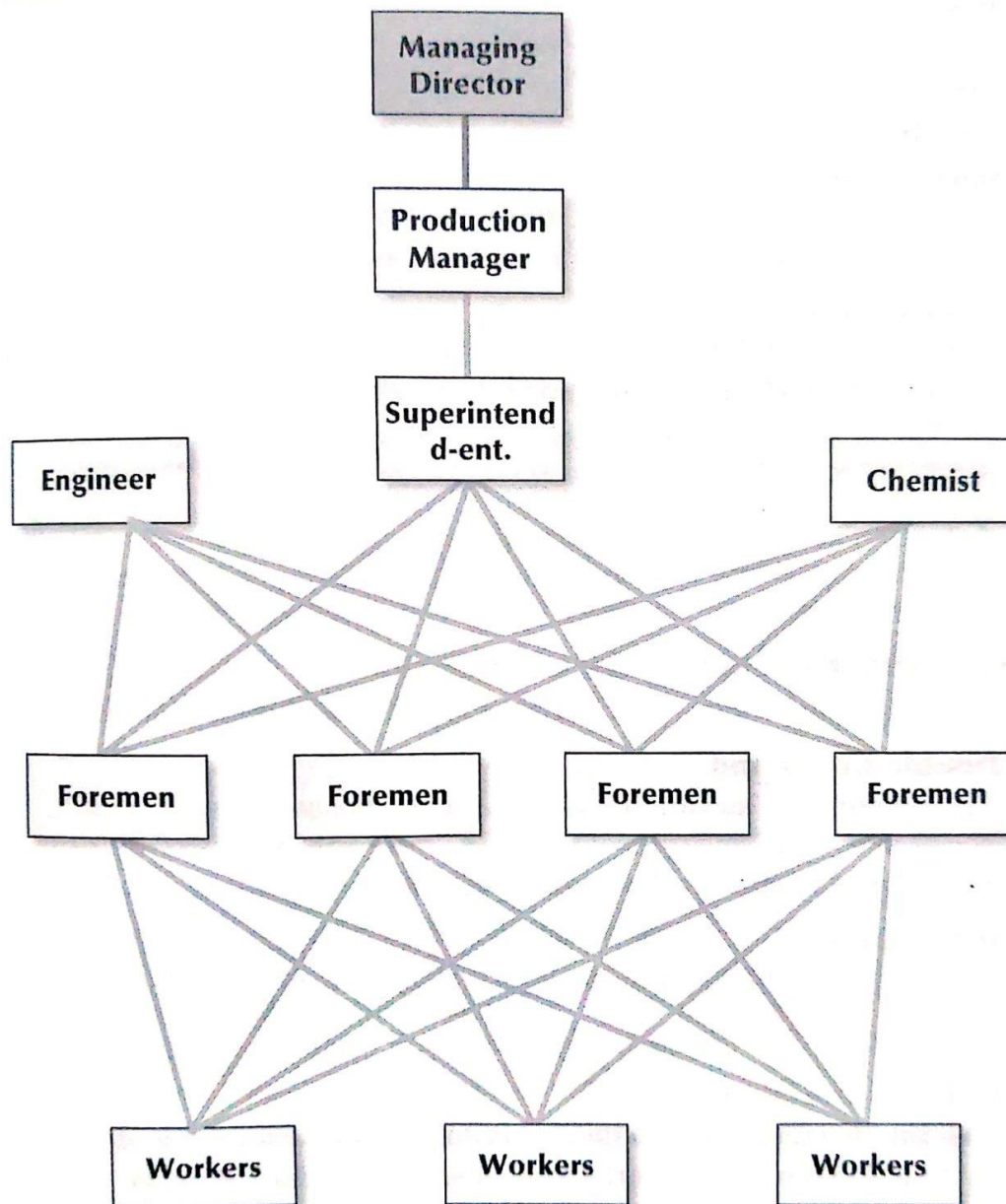
- Confusion
- Conflict
- Expensive
- Encourage carelessness
- Reduces initiative power

Functional Organization Structure

The functional structure is the most common model found in most organizations. Organizations with such a structure are divided into smaller groups based on specialized functional areas, such as operations, finance, marketing, Human Resources, IT, etc.

The organization's top management team consists of several functional heads (such as the VP Operations, VP Sales/Marketing). Communication generally occurs within each functional department and is communicated across departments through the department heads.

This structure provides greater operational efficiency as employees are functionally grouped based on expertise and shared functions performed. It allows increased specialization as each group of specialists can operate independently.



Functional Organization

Merits:

- Specialization
- Efficiency
- Relief to executives/reduced workload
- Mass production
- Flexibility
- Possibility of cooperation

Demerits:

- Conflict in authority
- Delay in decision making
- Possibility of less cooperation/coordination
- Lack of fixed responsibility
- Expensive

Distinction between line and line & staff organization:

	Line organization	Line and staff organization
Authority		
Decision making		
Unity of command		
Cost		

Departmentation/ Departmentalization (dividing similar works and creating departments)

Meaning and Methods

An organization becomes larger and involve more diverse and complex activities, it becomes necessary to divide the organizational work into various departments. Departmentation is a means of dividing the large and complex organization into smaller flexible units.

It is the process of grouping activities and employees into various departments. Division of labour needs coordination and the coordination is done by specialists. The divided activities need specialists in departments under the supervision of a manager.

Departmentation is the organization wide division of work into various manageable units or departments.

Bases of Departmentation:

1. Departmentation by functions
2. Departmentation by products
3. Departmentation by territory/geographic classification
4. Departmentation by process
5. Departmentation by customers
6. Departmentation by time

Authority, Responsibility and Accountability

Authority can be defined as the right to give orders and the power to exact obedience. A manager derives formal authority by virtue of his position in the organizational structure. By virtue of this authority he acquires the right to decide to act and to command the persons working under him. Besides the personal authority, a manager derives power from his intelligence, knowledge, skills and experience. As a result of this, most of the subordinates accept his authority. S.P. Robbins has defined authority as “It is the right to act towards the attainment of organizational goals.”

There are three sources of authority:

- Formal authority
- Acceptance theory
- Competence theory

Responsibility

According to Theo Haimann, “responsibility is the obligation of a subordinate to perform the assigned duty as required by the superior.” Responsibility is the obligation to perform the assigned task faithfully. When a duty is assigned to a subordinate it becomes his obligation to perform and achieve good results. It is the liabilities for proper discharge of duties.

It may be defined as the obligation of a subordinate to whom a duty has been assigned to perform the duty.

Authority is the right of a superior to issue commands to subordinates while responsibility is the obligation of the subordinate to obey those commands.

Authority flows downwards while responsibility is moved upward.

Accountability:

It refers to the obligation of the individual to report formally to his superior for the proper discharge of his responsibilities. It is the accountability of the subordinate to render an account of his activities to his superior. The person who accepts responsibility is accountable for the performance of assigned duties.

Accountability grows out of responsibility and goes hand in hand with it. A person who is responsible for results must recognize that he will be judged by the quality of his performance.

Robbins: Accountability is the obligation to one's superior to carry out the assignments in a satisfactory manner.

Differences between authority and responsibility

Basis of difference	Authority	Responsibility
Meaning		
Direction of flow		
Origin		
Delegation		
Termination		

Delegation of authority:

Delegation of authority is widely recognized as an art of getting best result. It reduces the burden on top executives by relieving them of the botheration of taking decisions. This will help them in concentrating vital aspects of management.

S.P. Robbins: Delegation is granting of authority downward to subordinates.

Theo Haimann: Delegation of authority merely means the granting of authority to subordinates to operate within prescribed limits.

George Terry: Delegation means conferring authority from one executive or organizational unit to another in order to accomplish particular assignment.

Importance of Delegation of Authority

- It reduces workload/burden of Managers
- It facilitates quick decision
- Increases efficiency of subordinates
- Aids to executive development
- Expansion and development
- Healthy relationship
- Facilitates organizational effectiveness

Barriers to effective delegation of authority

- Reluctant to delegate
- Fear of subordinates
- Lack of trust
- Superior's attitude
- Fear of criticism
- Avoid responsibility
- Ineffective control
- Lack of skill of subordinates
- Withdrawal of delegated authority
- Lack of patience of managers

Difference between centralization and decentralization of authority

Nature:

Relationship

Technique

Control

Compulsion

Principle of Delegation of Authority:

Principle of parity of authority and responsibility/authority should match with responsibility

Principle of delegation by result expected

Principle of unity of command

Principle of absolute responsibility

Principle of authority level

Principle of scalar chain

Principle of exception

Decentralization:

Decentralization refers to the systematic efforts to delegate to the lowest level all authority except that which can only be exercised at central points. Decentralization is concerned with the placement of authority with reference to responsibility. It means the decentralization of powers of decision making to the level where the work is to be performed.

Henry Fayol: Everything that goes to increase the importance of the subordinates' role is decentralization and that goes to reduce it is centralization.

Dale S. Beach: Decentralization means placing the authority and decision-making power as close as possible to the level at which the work is done.

Stephen Robbin: Decentralization is the degree to which authority has been delegated downwards.

Need of Decentralization of Authority:

- Relief to top executives
- Rational and quick decisions
- Executive development
- Growth and diversification
- Effective communication
- Democratic nature

Factors affecting decentralization:

- Size of the organization
- Cost of decision
- History of the organization
- Philosophy of the organization
- Philosophy of top management
- Objectives of the organization (Service oriented organization can decentralize, but profit oriented organization centralize authority)
- Nature of decision (complex, expensive, long term impact, authority is centralized)
- Competency of operational managers
(If the operational people are not competent, skilled or unable to take decision then centralization is good.)

Importance of Organizing:

What is Organizing?